Alphabet Inc.

GOOGL NASDAQ

Buy	$294.80 ▼ 1.31%	12M Price Target $340.00	52-Week Range $270.70 – $408.61	Market Cap $3.62T

GOOGL: HSBC Says Buy the Dip, Antitrust Overhang Fading

WHAT HAPPENED

- GOOGL pulled back 1.3% to $294.80 after a nice run-up to $298 yesterday — looks like simple profit-taking on low volume (only 20.8M shares vs 35M the day before). Nothing broke; the stock is still sitting near the top of its recent range.
- HSBC put Alphabet at the TOP of its "buy the dip" list this morning — when a big bank publicly flags a name like that, it tends to put a floor under the stock because retail and institutional buyers use it as cover to step in.

WHY IT MATTERS

Here's the thing that jumps out — the options flow looks "bearish" on paper (lots of puts being bought at $360, $370, $380 strikes), but those are WAY above the current $294 price. That's not fear buying; that's almost certainly institutional hedging on long positions or someone writing covered calls — in plain English, big funds that OWN the stock are buying cheap insurance, which is actually a sign they're holding not dumping. Combined with 80.6% institutional ownership and HSBC's call, the setup here says big money is accumulating, not fleeing. The stock is only 17% off its 52-week low of $270 but sits far below the $408 high — meaning there's real room to run if sentiment shifts.

POLICY & POLITICAL WATCH

The biggest political story for GOOGL is the DOJ antitrust case aftermath — the judge ruled earlier this year that Google would NOT have to divest Chrome, which was the nuclear scenario. That's a massive de-risking event that the market is still digesting. On the AI side, the Trump administration's AI Action Plan has leaned permissive (fewer rules, more federal AI procurement), which directly benefits Google Cloud's government pipeline — if the proposed federal AI infrastructure spending gets attached to the next continuing resolution, GOOGL, MSFT, and AMZN are the three names positioned to win contracts. Watch for any state-level AI regulation (California especially) that could complicate things, and keep an eye on EU Digital Markets Act fines which remain a nagging but manageable headwind.

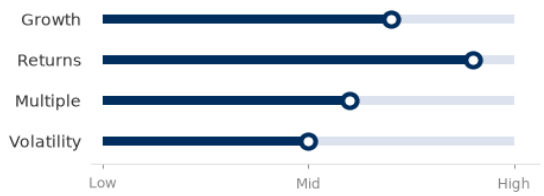
IS IT EXPENSIVE?

At roughly 29x forward earnings — meaning you're paying $29 for every $1 of profit the company is expected to make next year — GOOGL is actually CHEAPER than Microsoft (~34x) and way cheaper than Nvidia, despite growing Cloud at 30%+ and dominating search. For a $3.6 trillion company throwing off massive free cash flow, that's reasonable, not cheap. The valuation gets exciting if you believe Gemini AI monetization starts showing up in numbers — then this multiple looks like a bargain in hindsight.

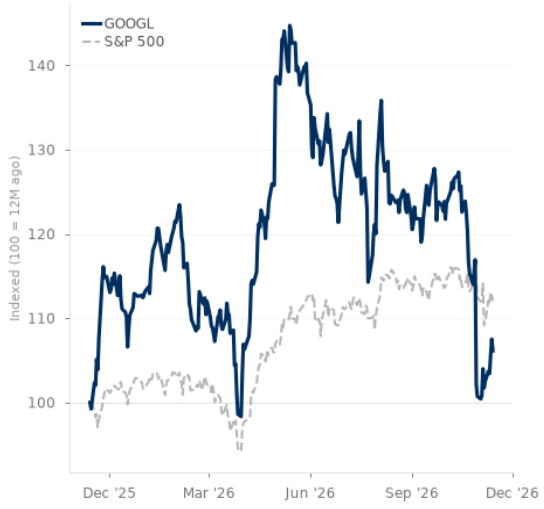
Key Data

Price (USD)	**$294.80**
12M Price Target	**$340.00**
Upside / (Downside)	**+15.3%**
Market Cap	**$3.62T**
FY2026E Revenue	**$410M**
FY2027E Revenue	**$470M**
FY2026E EPS	**$10.20**
FY2027E EPS	**$12.15**
Fwd P/E	**28.9x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$315.00**	$300.00	**$278.00**
6 Months	**$360.00**	$325.00	**$265.00**
1 Year	**$400.00**	$340.00	**$255.00**
2 Years	**$475.00**	$390.00	**$240.00**
5 Years	**$650.00**	$500.00	**$300.00**
10 Years	**$1000.00**	$750.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+3.61% over 5 days) — GOOGL's home sector is leading, which is a tailwind. Energy (+4.93%) is ripping on geopolitical tension and the admin's drill-baby-drill stance. Consumer Staples defensive bid suggests some rotation caution underneath.

COOLING OFF: Pure-play AI hardware names are getting choppy — the Nvidia leadership shift headline today shows investors are starting to question who the long-term AI winners really are. That's actually GOOD for GOOGL (software/services layer wins).

ROTATION WATCH: Money is rotating from expensive AI hardware (NVDA) into AI platform plays (GOOGL, MSFT) where the multiples are more reasonable and the moats are wider. This is a classic mid-cycle AI trade.

RELATED PLAY: If GOOGL runs, watch the data center REITs (EQIX, DLR) and the utilities powering AI compute — they're the picks-and-shovels on the infrastructure Alphabet is building.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Winning with Copilot enterprise adoption and Azure AI — same playbook as GOOGL but earlier monetization.
- META (Meta Platforms): AI-driven ad targeting improvements boosted margins — proves AI pays off in advertising, which is bullish read-across for GOOGL.

GOOGL CONTEXT: GOOGL has been LAGGING MSFT and META this year because of the antitrust overhang and AI-disruption fears. Now that Chrome divestiture is off the table, the catch-up trade is setting up — this is exactly why HSBC flagged it as a buy-the-dip.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — High conviction here; the risk/reward is skewed favorably with antitrust fading and AI monetization still ahead of us.

POSITION SIZE: 4-6% of portfolio — it's a core holding, not a trading position. Big enough to matter, small enough that AI disruption risk doesn't blow up your portfolio.

ENTRY POINTS: Add on dips to $285-295 (where we are now is fine). Any pullback to $275 would be a table-pounding add.

TIME HORIZON: 12-24 months. The catalysts are Cloud growth re-acceleration and Gemini enterprise wins showing up in earnings.

WHEN TO BAIL: If Search revenue growth goes NEGATIVE year-over-year, or if Cloud growth drops below 20%, the thesis is broken and I'm out.

HEDGING: Simplest hedge — pair your GOOGL long with a smaller short on META. If the ad market cracks, both fall but META falls harder. If AI goes well, GOOGL wins more because of Cloud + Gemini exposure.

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